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Bloomberg Intelligence

NEC Equity Research



Ian Ma
Team: Industrials
BI Industry Analyst

Outlook

Accenture Results Ease Gen AI Concerns for NEC, Fujitsu: React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Accenture's fiscal 4Q results reinforce the demand outlook for NEC and Fujitsu through fiscal 2027 ending March, with large AI, cloud and modernization projects remaining resilient. Asia-Pacific revenue rose 7% in local currency, with Japan among the growth drivers. The read-through is positive, though Accenture noted broader discretionary spending has yet to materially improve and customer exposure differs. Fujitsu and NEC each target ¥840 billion of Uvance and BluStellar revenue, respectively, representing 34% of Fujitsu's Service Solutions revenue and 41% of NEC's Domestic IT sales. (10/02/26)

NEC's CSG Deal, BluStellar to Support Margins: Equity Outlook

Contributing Analysts Yoshiteru Ito (Industrials)

THESIS: NEC's operating margin is set to widen as higher-value domestic IT, BluStellar as well as aerospace and defense projects will offset slower revenue growth and weak telecom hardware demand. The company's fiscal 2027 guidance of ¥430 billion non-GAAP operating profit implies a 12% margin, aided by product mix and cost control. BluStellar remains the key margin lever, with annual revenue targeted at ¥840 billion as AI-enabled offerings expand in government and financial services. The Anthropic partnership is set to accelerate industry-specific AI adoption and delivery capacity. Japan's large defense budget should support social infrastructure, while the CSG acquisition should expand its US software and services presence. With about 80% of sales from Japan, yen swings have limited earnings impact. (08/06/26)

Key Topics Summary

Telco IT Service Expansion: NEC's CSG Systems deal, which closed in May, brings a profitable software-as-a-service driver as well as an expanded US presence and customer base. As the second biggest global telco software service provider -- after Amdocs -- CSG's diversification beyond Comcast and Charter into fast-growing segments and 20% operating margin will complement NEC's Netcracker unit and boost earnings quality and cross-selling opportunities.

National Security Growth: NEC's defense contracts have risen sharply amid Japan's drive to digitize the sector and higher defense expenditure. Higher profit due to government-rule changes will support margin expansion. The company is targeting a 35% subsea-cable share with its advanced technology amid strong Asia-Pacific demand and government-backed fleet investment.

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Solid Software Tankan: Fujitsu, NEC and Hitachi should benefit from resilient Japanese IT spending through the fiscal year ending March 2027, supported by digitalization and AI investment. The BOJ's September Tankan shows firm software plans, though our 10-year revision trends point to slower year-end growth, especially in finance, while smaller firms should hold up better. New

Healthy Domestic Orders: Japan's IT services vendors look positioned to withstand AI-disruption fears as rising orders and backlogs signal resilient demand. Fujitsu and NEC posted solid domestic orders, while deep local expertise, trusted customer ties and mission-critical capabilities should remain durable advantages as AI tools complement, rather than displace, incumbents.

2026 IR Day Event Takeaway: Fujitsu and NEC are moving beyond legacy IT through AI-led platforms and growth areas in computing, networks and defense. Uvance and BluStellar target scalable growth and higher margins, while Fujitsu adds MONAKA, quantum and AI-native RAN. NEC is expanding defense capacity and submarine-cable share, broadening growth beyond core IT into the 2030s. New

Possible Shares Buyback: NEC could follow domestic IT solution rival Fujitsu in conducting more share buybacks to boost shareholder value, alongside a commitment to dividend hikes, and backed by record cash reserves. Hitachi's strong earnings might also promote greater focus on capital returns, a metric gaining traction amid rising foreign investor interest.

Financial Review

Earnings

NEC BluStellar Growth to Help Full-Year Profit Goal: 2Q Preview

NEC's fiscal 2Q result will hinge on whether 1Q profit momentum carries through after integration of CSG and whether domestic IT demand stays solid. Sales in 1Q rose 15%, while non-GAAP operating profit nearly doubled due to margin gains. IT services margins remain the key read-through as public-sector projects normalize and component costs stay uncertain. Social infrastructure bears watching after aerospace and defense supported growth, alongside telecommunications-restructuring benefits. NEC's earnings are likely to remain heavily weighted to 2H, which generated 67% of full-year operating profit in fiscal 2026, and the company could stay on track for its ¥420 billion fiscal 2027 operating-profit target as BluStellar lifts IT services margins, with the higher-margin platform projected to reach 41% of the company's domestic IT sales vs. 32% in fiscal 2026. (10/07/26)

Key Points:

- Sales Growth in Fiscal 2027 Could Match 7% Expected by Consensus
- IT Services Sales Could Benefit From Robust Digital-Transformation Demand in Japan, BluStellar Initiatives
- Social-Infrastructure Segment's Margin Might Expand on Solid National-Defense, Subsea-Cable Orders
- Japan IT Vendors' Order Backlog Hitting New Highs
- Bank of Japan's Tankan Forecast for Software Continues to Increase

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Bloomberg Interactive Model | MODL »

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Long-Term Drivers

NEC Can Reach Profit Target on Solid IT Services, Defense Demand

NEC is on track to deliver its fiscal 2027 targets of ¥3.54 trillion in sales and ¥430 billion in non-GAAP operating profit. The company could gain from strong domestic demand for digital transformation and operational savings in its network-infrastructure business. Sales in the aerospace and national-security segments are likely to remain strong, supported by Japan's growing defense budget and subsea-cable orders. Though tepid spending by wireless carriers might weigh on the network-infrastructure unit, cost controls and benefits from previous structural reforms could buoy margins. Continuing improvement in submarine systems, which turned profitable as revenue from previously ordered projects was recognized, might further bolster margins. (10/06/26)

Bloomberg Interactive Model (Click to Open)

	2025	2026	2027	2028	2029
Summary					
Total Revenue	3,423,431	3,582,733	3,839,892	4,105,766	4,391,437
IT Services	2,459,800	2,508,925	2,709,639	2,926,410	3,160,523
Y/Y Change	*8.5%*	*2.0%*	*-75.2%*	*177.2%*	*#N/A*
Social Infrastructure	832,100	935,302	982,067	1,031,170	1,082,729
Y/Y Change	*2.4%*	*12.4%*	*2.7%*	*9.3%*	*#N/A*
Others	131,500	138,506	148,186	148,186	148,186
Y/Y Change	*-66.9%*	*5.3%*	*7.0%*	*0.0%*	*#N/A*
Reconciliation	31	0	0	0	0
Key Financial Metrics					
Total Revenue	3,423,431	3,582,733	3,839,892	4,105,766	4,391,437
Consensus	3,409,293	3,571,797	3,833,185	4,030,863	4,277,257
Operating Margin (%)	7.5%	10.0%	11.8%	12.9%	14.0%
Consensus	7.0%	9.6%	11.6%	12.7%	13.8%
Earnings Per Share	131.50	202.95	248.31	279.45	301.41
Consensus	113.64	185.79	231.17	263.54	299.36
Gross Margin	31.0%	33.0%	33.4%	34.0%	34.8%
Consensus	31.0%	33.0%	33.5%	34.3%	34.7%

The Bloomberg Interactive Model uses dynamic drivers - benchmarked against detailed consensus estimates or based on BI analyst scenarios that can be customized by users - to create an integrated three statement financial model.

Source: MODL <GO>, Bloomberg Intelligence

Key Topics

Telco IT Service Expansion

NEC's CSG Deal Close Builds SaaS Scale, US Reach for Netcracker

NEC's CSG Systems deal, which closed in May, brings a profitable software-as-a-service driver as well as an expanded US presence and customer base. As the second biggest global telco software service provider -- after Amdocs -- CSG's diversification beyond Comcast and Charter into fast-growing segments and 20% operating margin will complement NEC's Netcracker unit and boost earnings quality and cross-selling opportunities. (06/01/26)

CSG Supports NEC's Telecom Margin Recovery

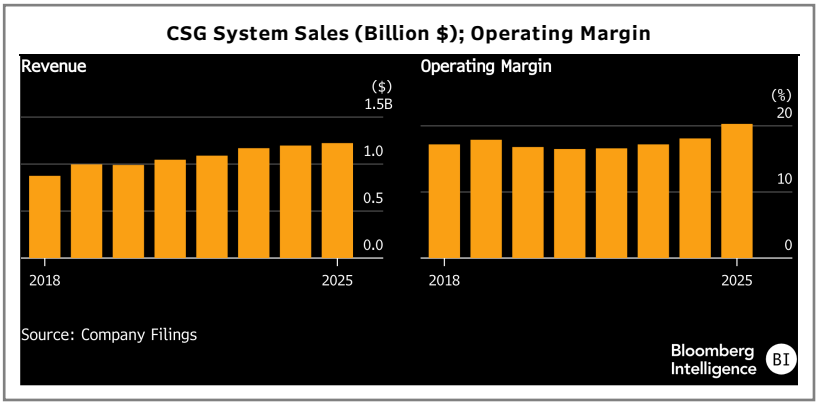
NEC's CSG acquisition should help stabilize its telecom services earnings as the division restructures, after the segment's revenue fell to ¥390.5 billion in the fiscal year ended March. Non-GAAP operating margin narrowed to 7.4%. Still, management targets a 13.5% margin for fiscal 2027, expanding even further by fiscal 2031. A larger software contribution will improve earnings quality and support spending on next-generation network software.

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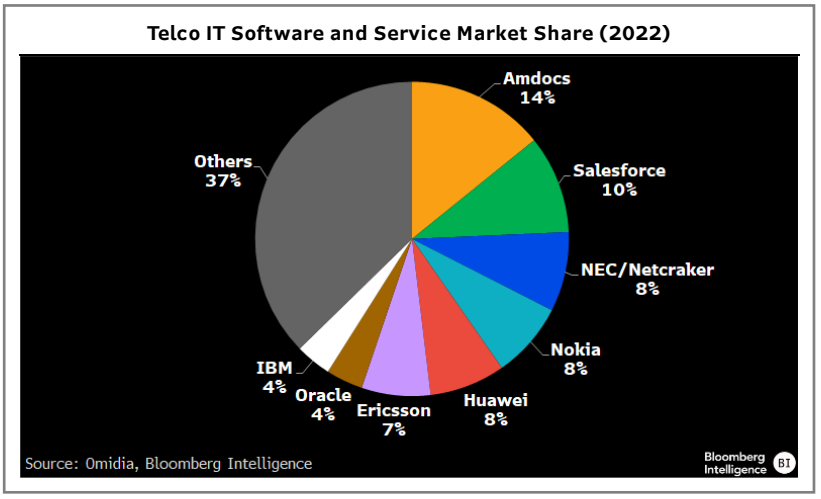
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CSG brings the steadier, cash-generative profile NEC needs. CSG's 2025 revenue rose 2.2% to $1.22 billion and operating margin widened to 20% from 18%, aided by SaaS growth and cost-efficiency measures. That complements Netcracker, broadens NEC's telecom and broadband software offerings, and supports more durable margin recovery than segment restructuring alone. (06/01/26)



NEC Moves to Challenge Amdocs in Telco IT Market

NEC is positioning to challenge Amdocs' dominance in global telco IT software services if its proposed acquisition of CSG Systems is approved by shareholders and regulatory bodies. This would significantly elevate NEC's global standing in the sector in which Amdocs leads with a 14% market share, according to Omidia, followed by Salesforce (10%), NEC, Huawei, and Nokia (8% each), and Ericsson (7%) as of 2022. Combining NEC's Netcracker with CSG could create the world's second-largest vendor, trailing only Amdocs, according to Bloomberg Intelligence expectations. The deal underscores NEC's ambition to expand its global footprint and intensify competition in the fast-evolving telecom software market. (05/26/26)



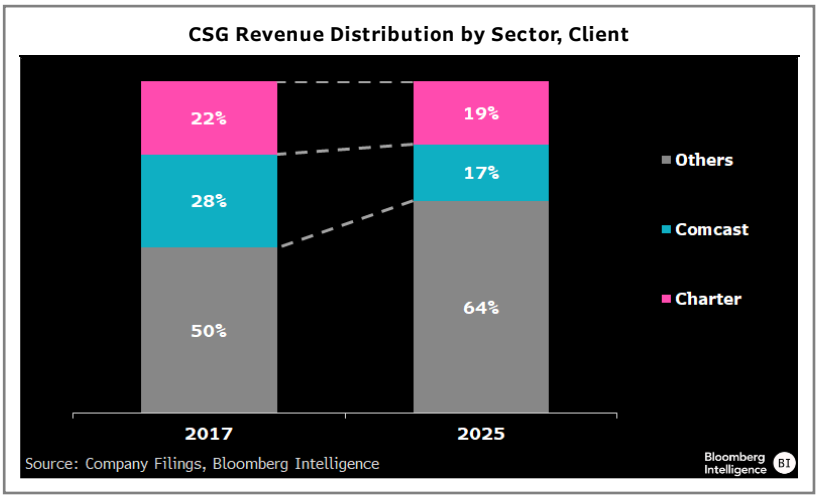
CSG Diversifying Beyond Charter, Comcast

CSG is reducing reliance on its two largest and decades-long customers, Charter and Comcast, while securing long-term stability after extending their contracts through 2031 and 2030, respectively. In 2017, 93% of sales came from cable/pay TV (70%) and telco (23%). By 2025, that share fell below 70%, with cable/pay TV at about 50%. Charter and Comcast's combined contribution dropped to 36% in 2025 from 50% in 2017. This shift reflects a pivot toward faster-growing verticals -- such as financial

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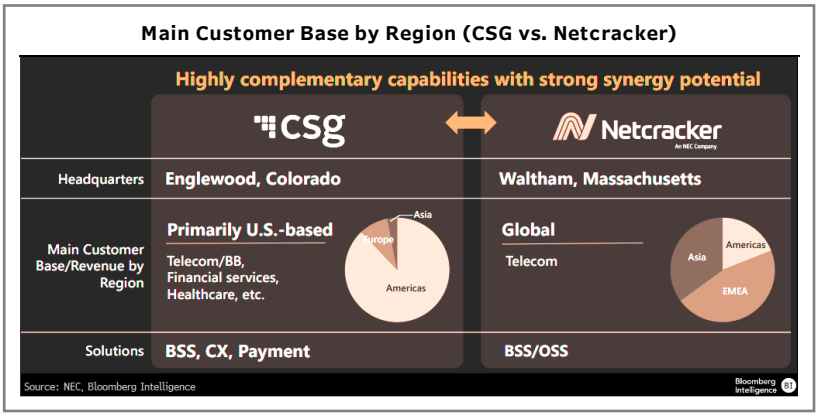
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services, technology, pharmacy, government, health care and insurance -- enhancing resilience and positioning CSG for sustained growth. (05/26/26)



NEC Can Leverage CSG to Boost Netcracker's US Push

The acquisition significantly strengthens NEC's US presence, addressing Netcracker's geographic gap -- only 30% of its sales come from the US, versus nearly 80-85% for CSG. NEC will operate a dual-stack monetization engine: Netcracker for global Tier 1 operators and CSG for US cable/telco hybrids, ideal for hybrid Open RAN deployments. NEC's Open RAN hardware gains strategic value through integration with CSG's real-time charging, policy control and customer-management systems, enabling strong monetization in 5G/6G. NEC can cross-sell Open RAN and Netcracker solutions to CSG's client base, including Charter and Comcast. As Open RAN depends on digital transformation, CSG's SaaS-based monetization tools allow NEC to deliver a full-stack offering -- from RAN to revenue enablement. (05/26/26)



National Security Growth

NEC to Gain From Defense Digitization; Targets Subsea-Cable Rise

NEC's defense contracts have risen sharply amid Japan's drive to digitize the sector and higher defense expenditure. Higher profit due to government-rule changes will support margin expansion. The company is targeting a 35% subsea-cable share with its advanced technology amid strong Asia-Pacific demand and government-backed fleet investment. (01/07/26)

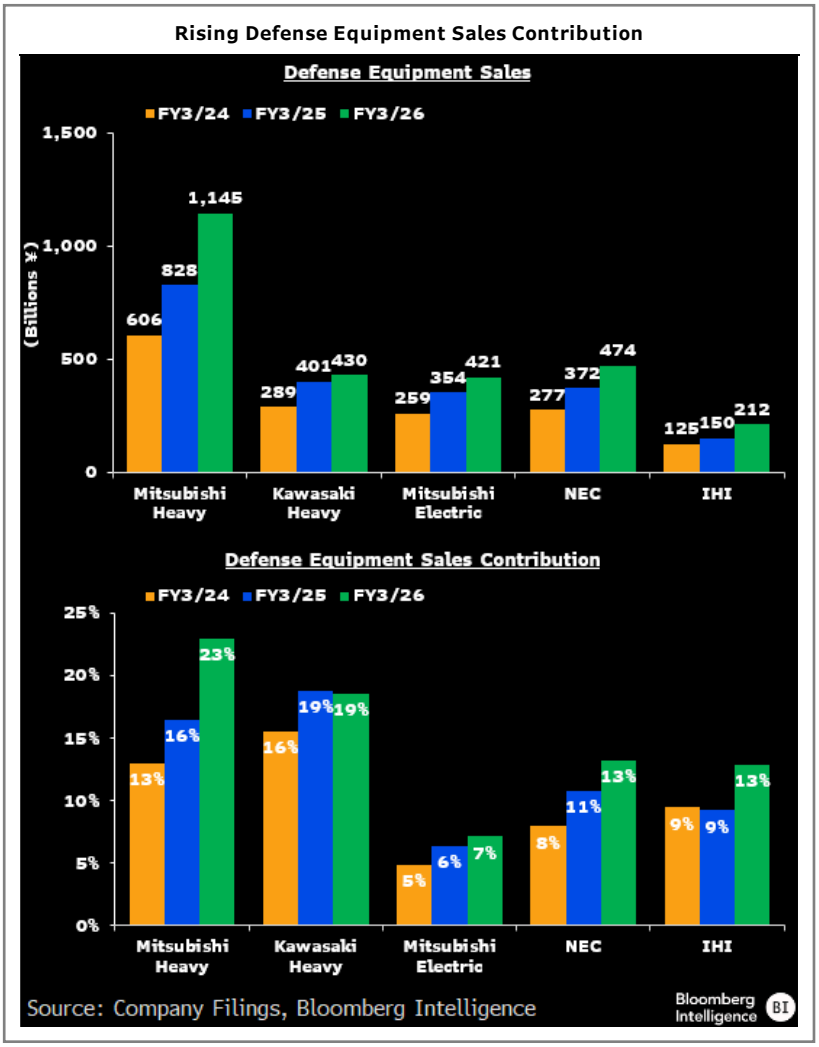
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Defense Sales Gain Traction as Dual-Use Upside Grows

MHI's defense equipment sales gap with local rivals should widen in fiscal 2027 as its stronger presence in high-value platforms and systems -- including missiles, naval vessels and aircraft programs -- helps it capture more of Japan's procurement demand. Japan's major defense suppliers are likely to derive a larger share of revenue from defense, with MHI and KHI set to sustain a defense sales mix of 18-25% in the near term, while Mitsubishi Electric, NEC and IHI should also see defense become a bigger part of revenue. Fujitsu's defense revenue contribution was about 9% in 2024, according to Stockholm International Peace Research Institute.

Still, unlike US and European peers, Japanese firms are likely to keep defense as part of broader industrial and technology portfolios as they push dual-use military technology. (05/14/26)



Ninja-Like Warship Deal Supports Japan Defense Exports

Australia's procurement of Japan's ninja-like Mogami-class FFM (Frigate, Multi-Mission) warships offers a major opening for Japanese defense firms to expand globally. MHI is poised to benefit most as the primary integrator and hull builder, also supplying key systems such as the Mk 41 vertical launch system and OPY-2 radar. NEC, Hitachi, IHI, Mitsubishi Electric and JMU also have important roles across sonar, communications, combat systems, unmanned surface vessel support and modular outfitting.

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The program highlights Japan's growing defense export capability, offering a next-gen platform that combines automation, stealth and smart maritime warfare tools for allied navies. (05/14/26)

Key Companies in Mogami FFM Supply Chain

Company	Role in FFM Supply Chain	Key Product Contribution
Mitsubishi Heavy	Prime Contractor & System Integrator	Frigate hulls, Mk 41 VLS (license-built), OPY-2 AESA radar, CIC consoles
Mitsui E&S	Shipyard co-builder (subcontractor)	Frigate hulls (e.g., JS Kumano, JS Noshiro)
IHI	Unmanned Surface Vessel (USV) systems supplier	Umikaze-class USVs (MCM variant)
Mitsubishi Electric	Combat systems, electronics & radar	OPY-2 radar
NEC	EO fire-control, sonar & communications	NORA-50 EO/IR fire-control (UNICORN mast), LFSAS sonar
Hitachi	Sonar and mission electronics	OQQ-11 sonar
Japan Marine United	Shipbuilding and outfitting partner	Modular hull blocks, auxiliary outfitting systems

Source: Company Websites, Bloomberg Intelligence

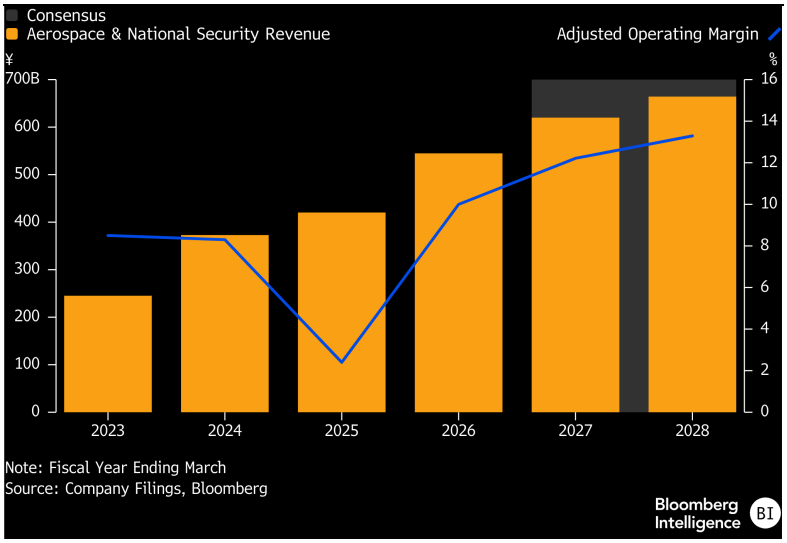
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NEC's Defense Sales Growth to Boost Margins

Higher sales by NEC's defense-related arm should bolster profit. After a 30% rise in NEC's Aerospace and National Security (ANS) revenue to ¥545 billion in the fiscal year ended March 2026, consensus expects fiscal 2027 sales of ¥620 billion for the division, implying 14% growth. Solid near-term ANS sales growth should continue as the government's defense outlays are unlikely to slow.

NEC's ANS adjusted operating margin increased to 10% in fiscal 2026 when the margin of the segment's main sales driver, Aerospace and Defense, jumped to 16% in fiscal 2026 from 12% a year earlier. Subsea Cable profitability is also improving despite construction costs. Consensus expects the segment's margin, including Subsea Cables, to reach 13% in fiscal 2027. (05/12/26)

NEC's Consensus Segment Sales, Profit Margin



Note: Fiscal Year Ending March
Source: Company Filings, Bloomberg

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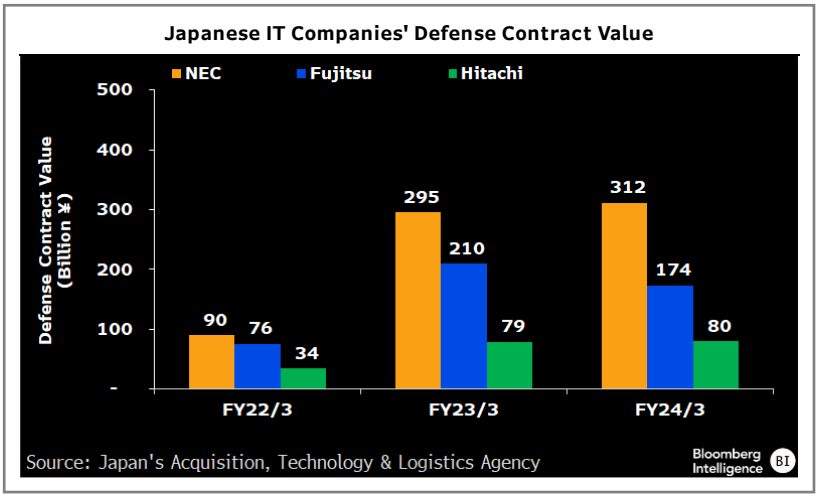
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Digitization Push in Defense Favors IT Firms

Contributing Analysts Yoshiteru Ito (Industrials)

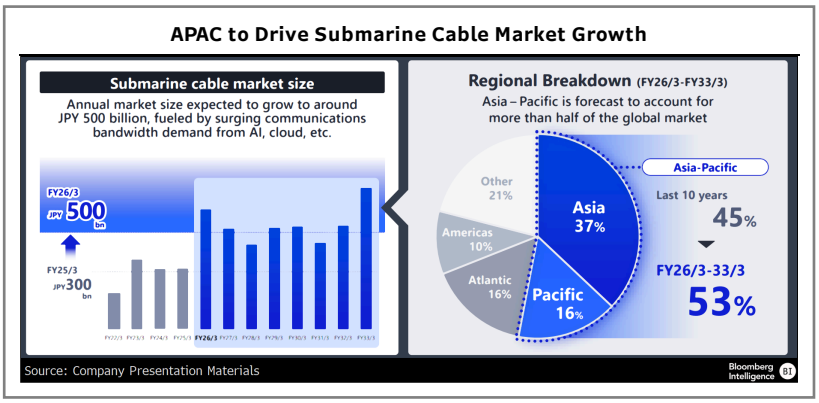
Japan's digital push in national defense, which targets to improve cybersecurity and telecoms infrastructure, lifted orders for local IT system providers such as NEC, Fujitsu and Hitachi, with contract values rising 2.3-3.5x in the fiscal year ended March 2024 vs. fiscal 2022. The average defense contract size rose 1.6-2.2x for the three firms, implying margin expansion with more large-scale system upgrades and sales of advanced defense equipment.

Margins for Japan's defense companies were limited to 5-7%, with any profits exceeding this threshold returned to the government. The Ministry of Defense has raised the margin to 10-15%, allowing vendors to achieve higher profitability. (05/12/26)



NEC's Subsea Cable Share Target Is Achievable

NEC can leverage its deep Asia-Pacific experience and advanced optical technologies, including the world's first multi-core fiber cable, to reach its 35% market-share goal in the long term. As one of the top global subsea-cable makers, the company benefits from manufacturing in Japan and has fully integrated capabilities from design to installation. NEC's subsea market share over the past decade was 25%, ranking third worldwide and first in the Asia-Pacific. Rising data traffic from social media, AI and national-security needs creates strong demand that supports NEC's growth target. Increasing regional demand, which could reach 53% of the global total in fiscal 2033, suggests the company can move toward owning cable-laying vessels rather than relying on charters, with Japanese government support. (01/07/26)



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Solid Software Tankan

BOJ Tankan Signals Japan IT Spending Moderating Into March 2027

Contributing Analysts Yoshiteru Ito (Industrials)

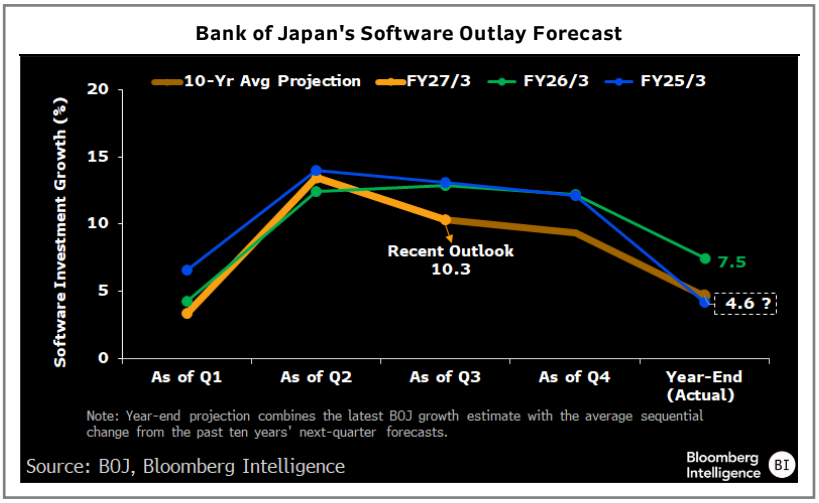
Fujitsu, NEC and Hitachi should benefit from resilient Japanese IT spending through the fiscal year ending March 2027, supported by digitalization and AI investment. The BOJ's September Tankan shows firm software plans, though our 10-year revision trends point to slower year-end growth, especially in finance, while smaller firms should hold up better. (10/05/26)

Japan Software Growth Holds Despite Tougher Comparisons

Contributing Analysts Yoshiteru Ito (Industrials)

The BOJ's September Tankan suggests software-investment sentiment remains robust despite normalization from June, signaling firm demand for digitalization into the fiscal year ending March 2027. The software-spending outlook was 10.3% in September, down from 13.5% in June but above the 3.4% initial outlook in March. Tankan software plans typically strengthen through 2Q and 3Q before easing toward year-end, and our 10-year average revision trend points to about 4.6% growth by March. That would represent a tougher comparison after 7.5% growth a year ago, but still indicate healthy corporate IT budgets rather than a sharp slowdown.

Digital transformation and AI application use by large companies remain key demand drivers, while smaller-enterprise spending will likely stay more volatile as rising costs pressure budgets. (10/05/26)



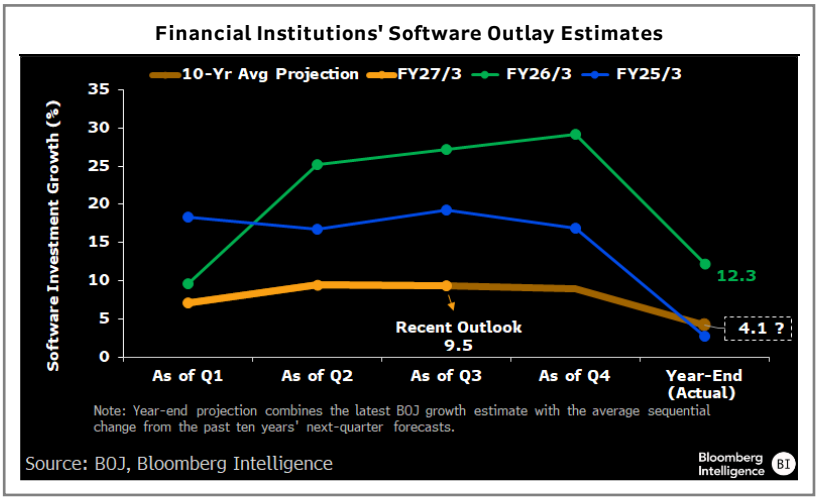
Japan Finance IT Spending Growth Set to Moderate

Japan's financial institutions are set to keep software investment growing through the fiscal year ending March 2027, but momentum is likely to slow sharply from last year's double-digit pace. Rapid advances in AI models and pressure to modernize legacy systems should sustain digitalization spending, benefiting NTT Data and Nomura Research alongside Fujitsu, Hitachi, IBM, NEC, TIS, Accenture, SCSK and Biprogy. The BOJ's September Tankan shows planned software investment rising 9.5%, broadly steady from 9.3% in June. Based on the average revision pattern over the past 10 years, growth could ease to about 4.1% by March, well below the 12.3% increase a year earlier.

Japan insurance firms and banks historically accounted for over 75% of the sector's software spending. (10/05/26)

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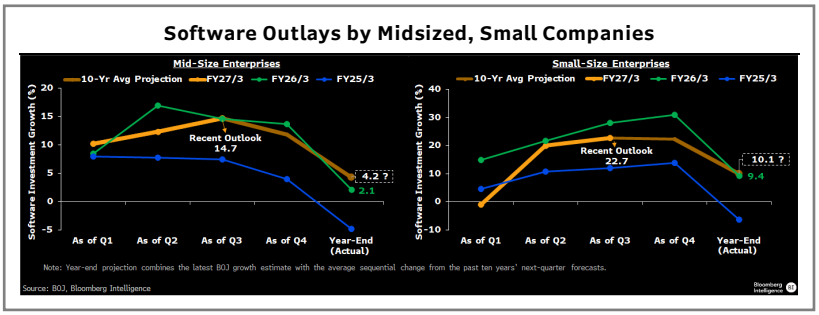


Japanese Smaller-Firm Software Demand Holds Up Well

Contributing Analysts Yoshiteru Ito (Industrials)

Solid software demand among smaller Japanese enterprises is poised to continue through the fiscal year ending March 2027, though spending plans may be revised sharply lower toward year-end. The BOJ's September Tankan shows software-investment plans up 14.7% for midsized firms and 22.7% for small firms. Based on average revisions over the past 10 years, growth could ease to about 4.2% and 10.1% by March, still above last year's 2.1% and 9.4%. Rising costs remain a risk to smaller companies' IT budgets.

IT and software companies with high exposure to small domestic firms include Otsuka, Obic and Obic Business Consultants. (10/05/26)

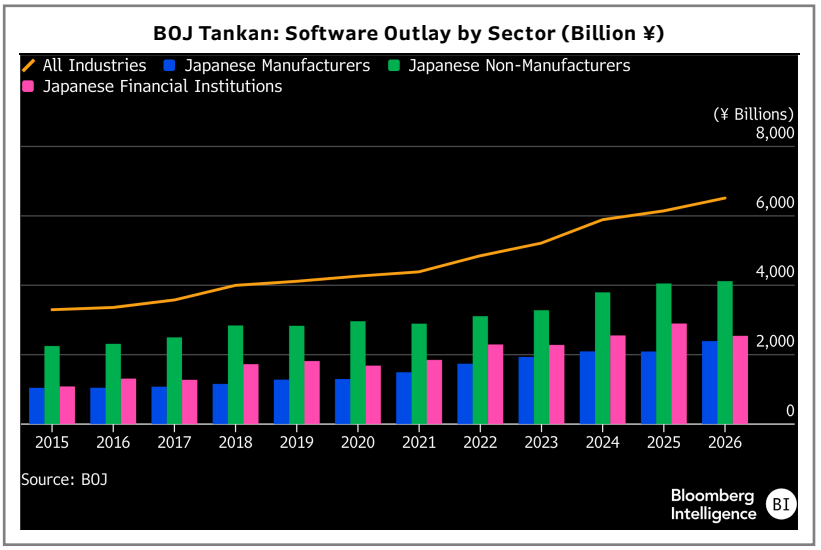


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Rising Digital Transformation Demand Across Sectors

(10/02/26)



Healthy Domestic Orders

AI Fears Ease as Japan IT Orders, Backlogs Signal Solid Demand

Contributing Analysts Yoshiteru Ito (Industrials)

Japan's IT services vendors look positioned to withstand AI-disruption fears as rising orders and backlogs signal resilient demand. Fujitsu and NEC posted solid domestic orders, while deep local expertise, trusted customer ties and mission-critical capabilities should remain durable advantages as AI tools complement, rather than displace, incumbents. (09/11/26)

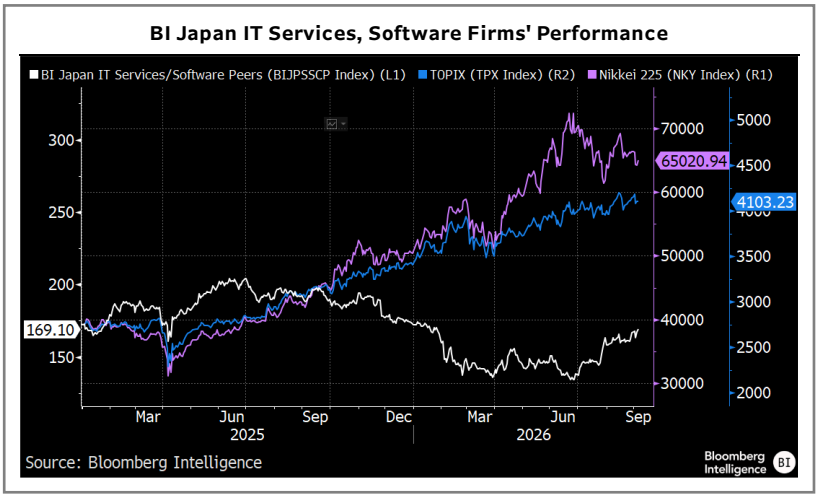
Japan IT Stocks Rebound as AI Disruption Fears Ease

Japanese IT services and software stocks have underperformed Topix and the Nikkei 225 in 2026, despite rebounding from midyear lows. The sector came under pressure in early February amid a global software selloff as investors priced in AI-driven disruption risks from vendors such as Anthropic. The performance contrasts with the broader market rally led by data center infrastructure and semiconductor-related stocks. Volatility could persist until AI-replacement concerns ease further and the technology is increasingly regarded as a catalyst for productivity and service expansion. Incumbents' deep local-domain expertise, trusted customer relationships and ability to deliver AI-enabled, mission-critical national systems should remain durable near-term moats and support earnings resilience. (09/11/26)

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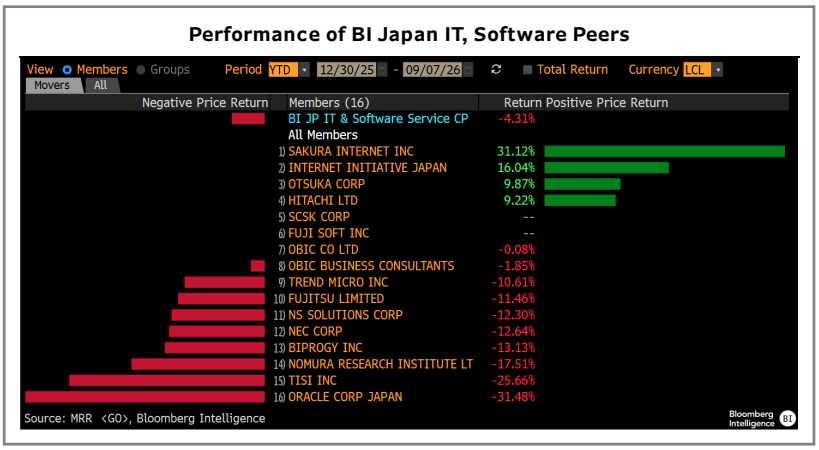
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Bloomberg Intelligence



Japan IT Shares Diverge, Sakura Internet Leads Gains

(09/11/26)



Japan IT Orders Show Digital Demand Holding Firm

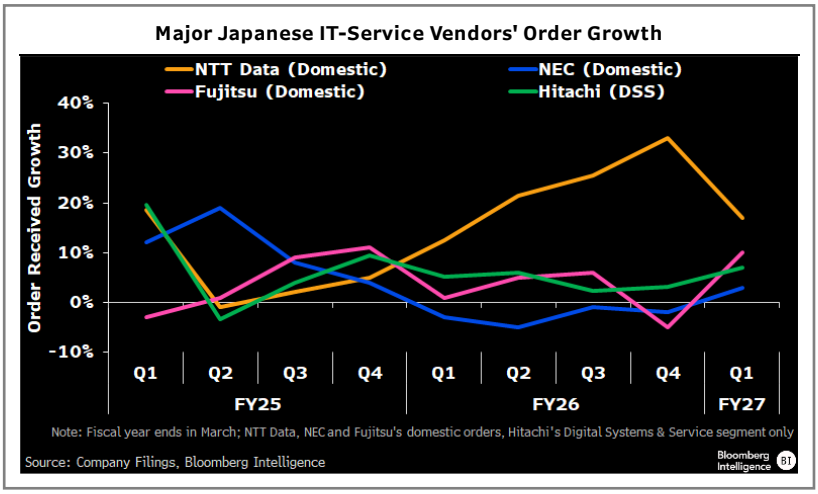
Contributing Analysts Yoshiteru Ito (Industrials)

New orders at Japan's major IT vendors signal steady demand for system modernization and digital transformation, while AI-tool providers will likely be complementary growth partners rather than direct competitors. Fujitsu's domestic orders rose 10% year-over-year in fiscal 1Q ended June, or 8% excluding large-scale projects. NEC's domestic orders rose 3% on an adjusted basis, excluding large projects, temporary special demand and exits from low-profit businesses, while effective backlog coverage rose 2%. Orders in Hitachi's digital systems and services segment grew 7%, led by domestic AI transformation and modernization projects, while effective backlog coverage rose 19% from end-March.

NTT Data, NTT's IT services arm and Japan's leading vendor, posted a 17% year-over-year gain in domestic orders, excluding its data-center business. (09/11/26)

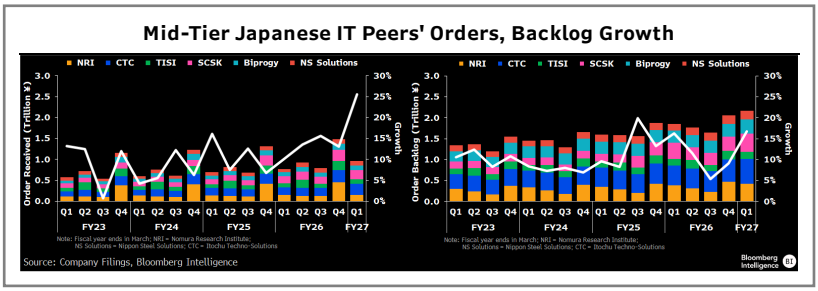
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Frontier AI Fears Fail to Slow Japan IT Backlogs

Mid-tier Japanese IT vendors' sales, largely driven by domestic clients, could remain robust despite disruption concerns tied to frontier AI firms such as Anthropic and OpenAI. Demand remains solid for system modernization, cloud, security and AI investment. New orders rose 26% vs. a year ago in fiscal 1Q ended June for the group, which comprises Nomura Research Institute (NRI), Itochu's CTC unit, TISI, Sumitomo's SCSK unit, Biprogy and NS Solutions. Group order backlog increased 17% and surpassed the record set in the March quarter, even though backlog typically declines sequentially in fiscal 1Q after the fiscal year-end peak. This seasonality-defying gain signals unusually resilient demand and improves sales visibility. NS Solutions led with 28% backlog growth, followed by CTC at 25%, Biprogy at 15% and SCSK at 13%, while NRI and TISI posted gains of about 10%. (09/11/26)



2026 IR Day Event Takeaway

Fujitsu, NEC Add New Growth Engines Beyond Legacy IT Services

Fujitsu and NEC are moving beyond legacy IT through AI-led platforms and growth areas in computing, networks and defense. Uvance and BluStellar target scalable growth and higher margins, while Fujitsu adds MONAKA, quantum and AI-native RAN. NEC is expanding defense capacity and submarine-cable share, broadening growth beyond core IT into the 2030s. (09/24/26)

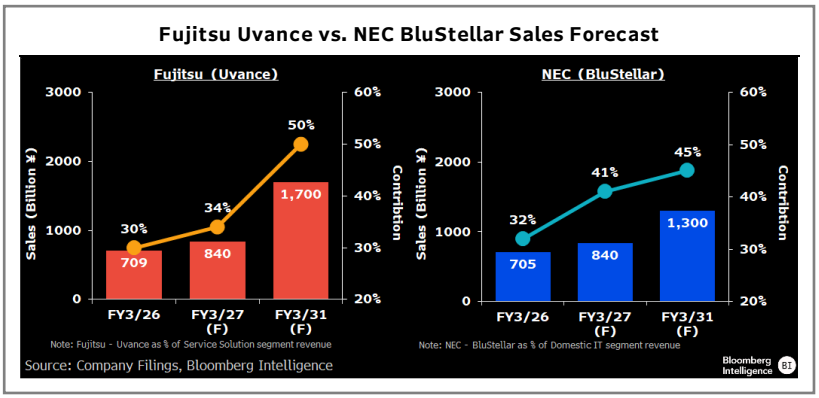
Fujitsu, NEC Seek Scalable Returns From AI Platforms

Fujitsu and NEC are both shifting toward AI-led, repeatable services, though Uvance and BluStellar aren't directly comparable in scope; each is a core digital platform for IT growth. Fujitsu targets more than ¥1.7 trillion of Uvance revenue, annual growth above 20%, and more than 50% of Service Solutions sales by fiscal 2031 (ending March). Uvance combines four vertical areas as the growth engine with

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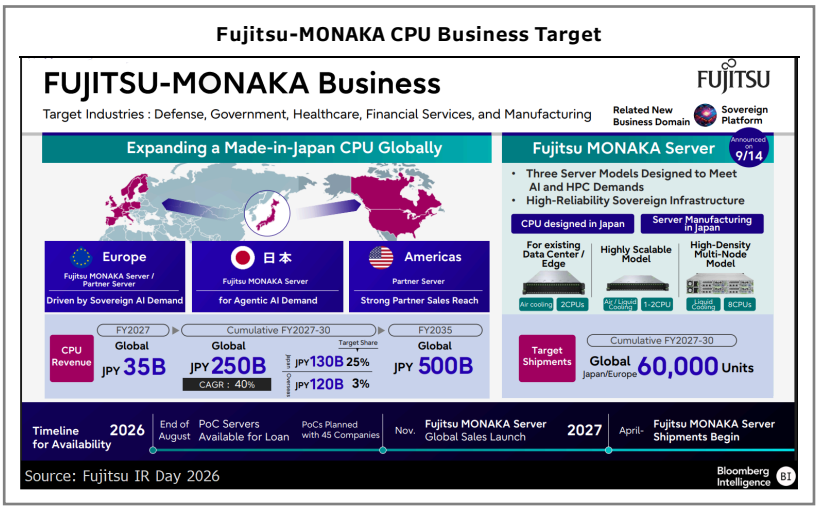
three horizontal technology areas as the earnings base, supporting cross-selling and profitability. NEC targets ¥1.3 trillion of BluStellar revenue and a 25% non-GAAP operating margin by fiscal 2031 (ending March). Management expects AI-led development, recurring services and value-based pricing to improve profitability, with fuller benefits from fiscal 2030, reducing reliance on legacy man-hour system integration. (10/05/26)



Fujitsu Growth Broadens With MONAKA, Quantum, AI RAN

Fujitsu's MONAKA could add a hardware growth leg as sovereign AI demand expands. Sales of the Japan-developed 2-nanometer CPU start in November, with server shipments from April 2027. Fujitsu targets ¥35 billion of annual MONAKA CPU revenue in fiscal 2028 (ending March), rising to ¥500 billion in fiscal 2036, implying 40% annual growth, and 60,000 cumulative server shipments globally through fiscal 2031. The CPU targets twice the AI inference throughput vs. rivals and supports confidential computing.

Quantum computing could add ¥50 billion of revenue in fiscal 2031 and ¥300 billion by fiscal 2036 via hybrid quantum/HPC systems. AI-native radio access network and 1FINITY network interface card sales target ¥120 billion in fiscal 2031 and ¥300 billion in fiscal 2036, extending the sovereign platform into telecom infrastructure. (09/24/26)



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NEC Defense, Submarine Cable Targets Broaden Growth

NEC's defense business could be another growth driver beyond IT services as capacity expands and overseas equipment transfers build. Its A$277 million Australian Navy contract through December 2033 covers nine sonar and communications systems for three frigates, while the US Navy is considering Japan's Mogami-class frigate design. A US selection could broaden NEC's equipment opportunities if the Navy keeps the Japanese systems package largely intact. Management says central-government defense contracts run at about ¥300 billion annually, while NEC is adding floor space and staff to support about ¥400 billion in contracts.

NEC also targets 35% of the submarine-cable market by 2030 vs. about 25% over the last decade, leveraging its optical technology and geographic advantages in APAC to serve AI- and cloud-led traffic growth. (09/24/26)

Social Infrastructure Business Mid-Term Targets

Social Infrastructure

(Billions of yen)

		FY26/3 Results	FY31/3 Goals
Telecom Services	Revenue	3,905	CAGR 3-5%
	Non-GAAP Operating Income margin	7.4%	In the upper teens
ANS	Revenue	5,448	CAGR 4-6%
	Non-GAAP Operating Income margin	10.0%	In the upper teens
Social Infrastructure	Revenue	9,353	CAGR 3-5%
	Non-GAAP Operating Income margin	8.9%	In the upper teens

*Excludes the impact of acquisitions

Source: Bloomberg Intelligence

Possible Shares Buyback

NEC, Hitachi Might Follow Fujitsu in Step-Up on Capital Returns

Contributing Analysts Takeshi Kitaura

NEC could follow domestic IT solution rival Fujitsu in conducting more share buybacks to boost shareholder value, alongside a commitment to dividend hikes, and backed by record cash reserves. Hitachi's strong earnings might also promote greater focus on capital returns, a metric gaining traction amid rising foreign investor interest. (12/15/25)

Cash Piling Up Suggests NEC Might Also Act

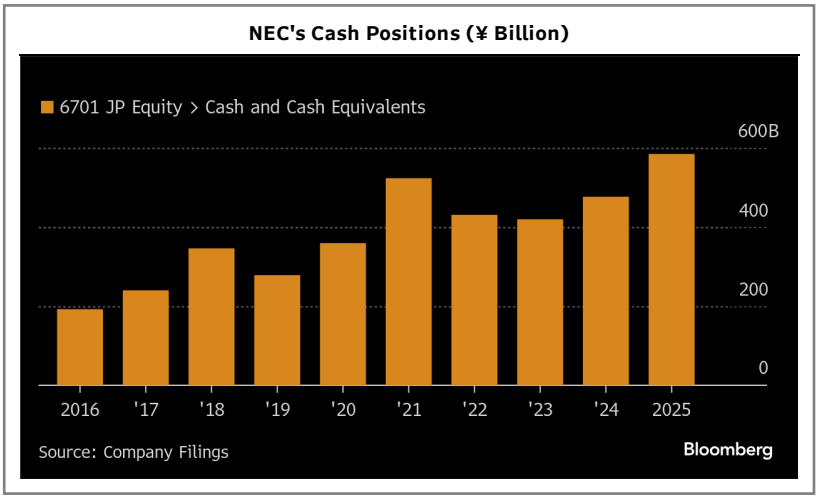
NEC, sitting on record cash reserves, could eventually follow domestic rival Fujitsu's commitment to equity buybacks to improve shareholder value. Fujitsu's push signals confidence in its own financial health, and a response to investor pressure to improve capital efficiency, which NEC might also face amid strong earnings growth and widening margins. NEC's solid balance sheet suggests it has not only the financial capacity to repurchase shares, but could also explore alternative shareholder return strategies such as special dividends or higher payouts.

NTT's announcement of a tender offer for its IT unit, NTT Data, could turn up pressure on IT firms to put more idle cash to work amid Japan’s corporate governance reforms and investors' rising expectations for capital returns. (12/15/25)

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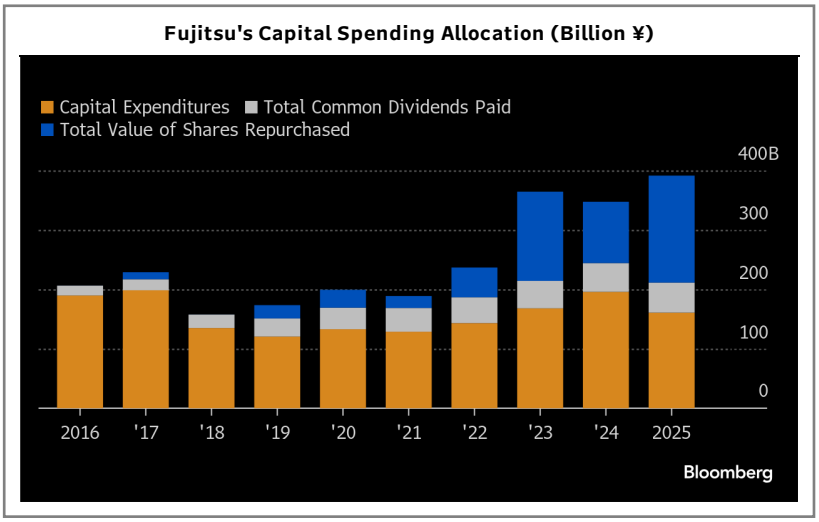
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Fujitsu Balances Growth Investment With Shareholder Returns

Fujitsu is focused on enhancing shareholder returns while pursuing growth. Its accelerated fiscal 2025 share buybacks underscore a proactive return strategy, backed by ¥300 billion in expected proceeds from non-core asset sales, including Shinko Electric, FDK, and Fujitsu General. Despite a lower cash balance, management remains confident in a leaner position, reflecting its digital shift from hardware to a services-led model. After raising shareholder returns by 52% to ¥230.5 billion in fiscal 2025, Fujitsu plans to return at least ¥200 billion in fiscal 2026, including ¥52.4 billion in dividends and ¥170 billion in buybacks. It also raised its M&A and growth outlays by 28% for fiscal 2026 while keeping flexibility to redirect capital to shareholders if opportunities don't materialize. (12/15/25)



Hitachi Sets Its Sights on Higher Payout

Contributing Analysts Takeshi Kitaura

Hitachi will continue to pursue free cash flow through profit growth and margin expansion as it sets its sights on achieving a 13-15% adjusted Ebita margin by fiscal 2028 ending March. Share buybacks as high as ¥300 billion (up to 3.06% of shares outstanding) announced with earnings underscore a commitment to return profit to shareholders on top of its 32% dividend payout ratio in fiscal 2025. Its Lumada internet-of-things platform growth target -- 50% of sales and 18% adjusted Ebita margin by fiscal 2028 -- could help fund share repurchases. (12/15/25)

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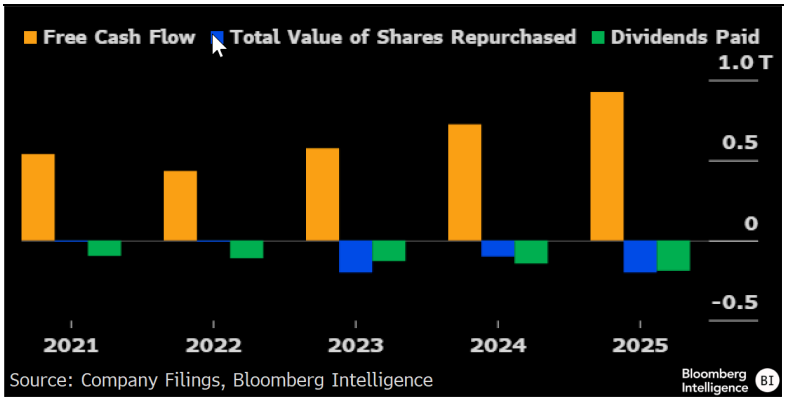


Chart Book

Company

NEC's BluStellar, Social Infra Growth to Boost Margin Expansion

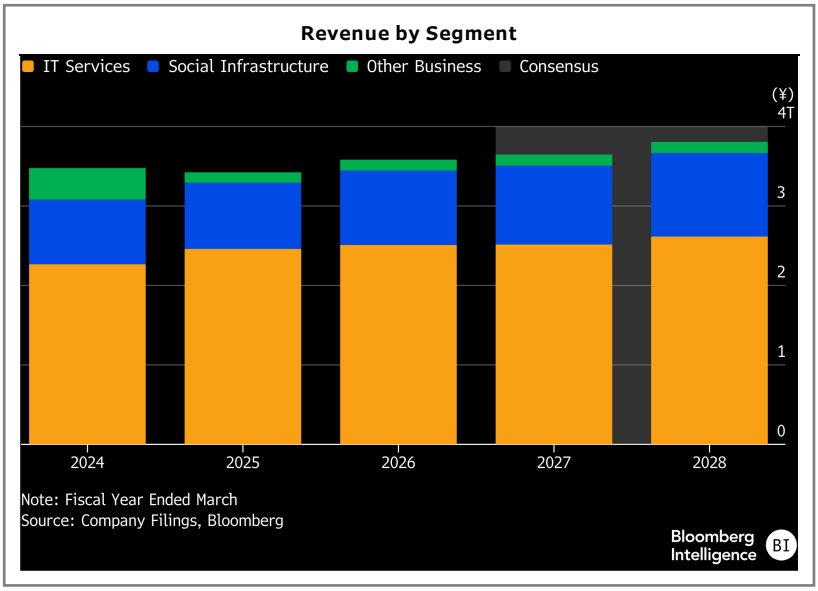
NEC's IT services segment remains the core profit driver, with the mix shifting toward higher-margin AI service offerings, digital transformation and cybersecurity-related businesses. BluStellar, NEC's AI-enabled solutions platform, should help lift the company's margins even as it reduces reliance on sales from less profitable hardware. Its social Infrastructure, aerospace and defense segment, alongside subsea cable systems, are likely to drive growth in the long term.

To access live data and charts, please click on the links under the images below. (06/09/26)

IT Services to Drive Top-Line Growth

Contributing Analysts Yoshiteru Ito (Industrials)

(06/09/26)



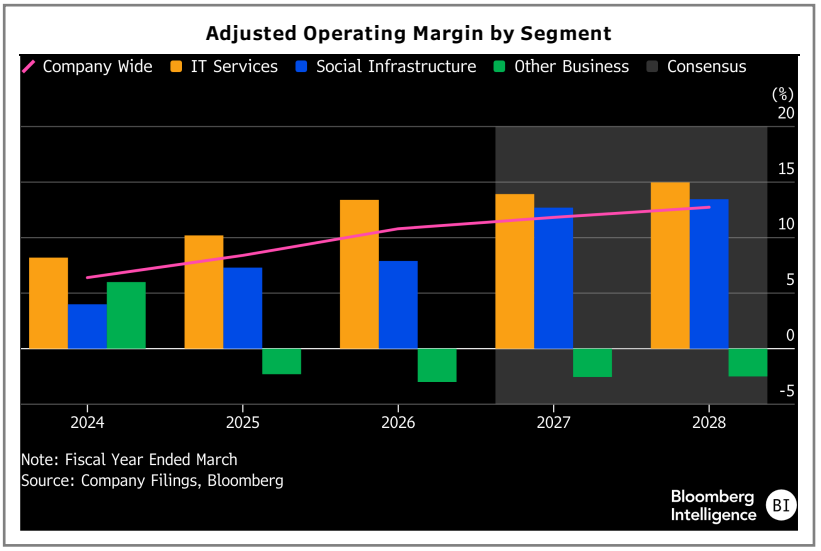
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Social Infrastructure Margin Narrowing Gap With IT Services

Contributing Analysts Yoshiteru Ito (Industrials)

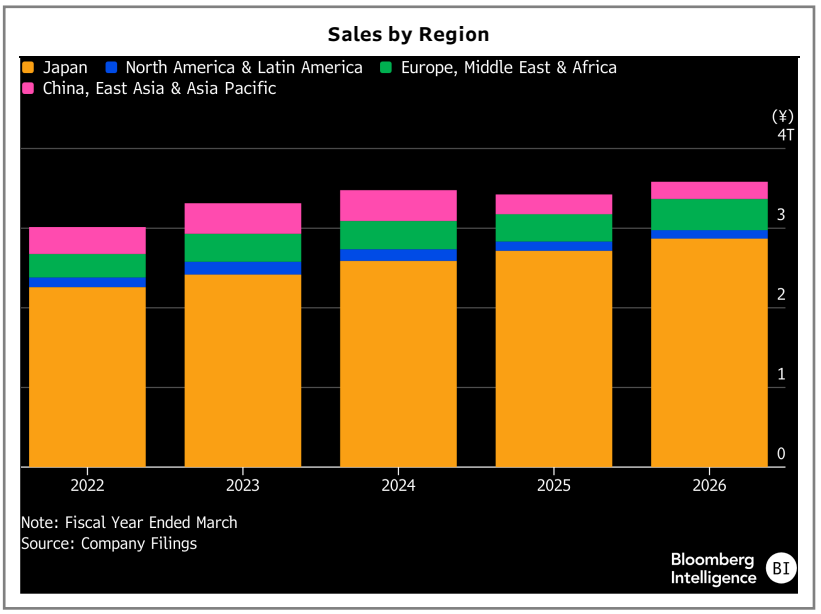
(06/09/26)



Limited Currency Impact as Sales Driven by Japan

Contributing Analysts Yoshiteru Ito (Industrials)

(06/09/26)



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Peers

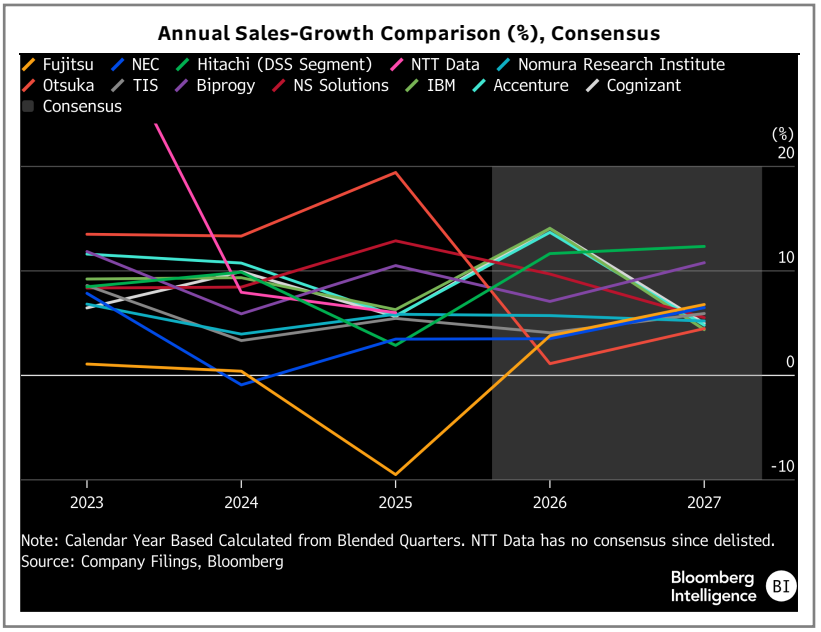
Japan IT Vendors' OpenAI, Anthropic Links May Spur New Orders

Japanese IT services vendors such as Fujitsu, NEC and Hitachi remain well placed for digital-transformation orders from public- and private-sector clients. OpenAI and Anthropic tie-ups may accelerate their generative AI offerings in AI agents, coding and cybersecurity, adding to demand from Japan's large legacy-systems modernization. Smaller local vendors could also benefit from the country's slow digital shift and industry consolidation. Excluding NTT Data, however, the group remains largely domestically focused, potentially limiting the global reach of those AI partnerships.

To access live data and charts, please click on the links under the images below. (07/03/26)

Japanese IT Peers to Sustain Sales Growth Despite AI Threats

(07/03/26)



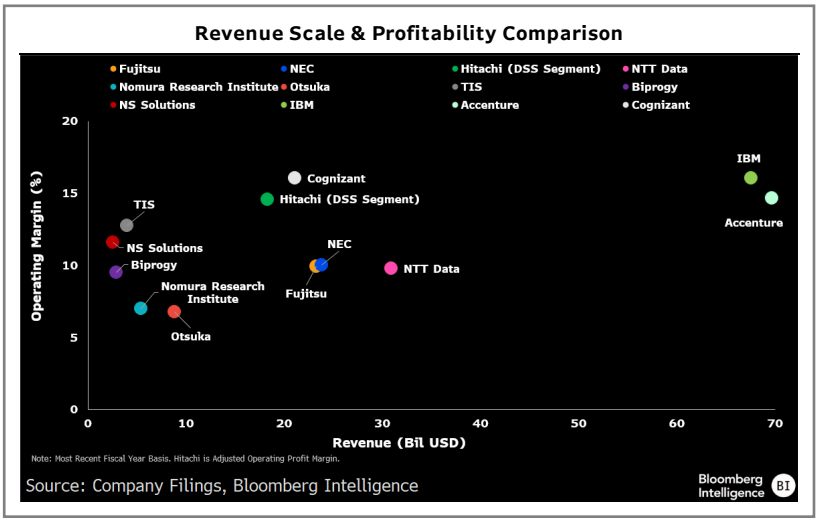
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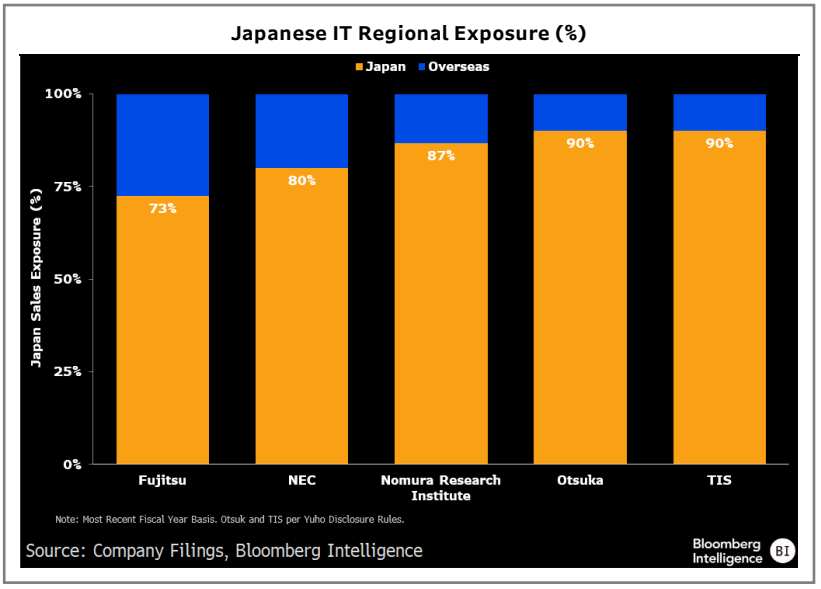
NTT Data Continues to Lead Japanese IT

(07/03/26)



Japanese IT Peers Rely on Domestic Sales

(07/03/26)



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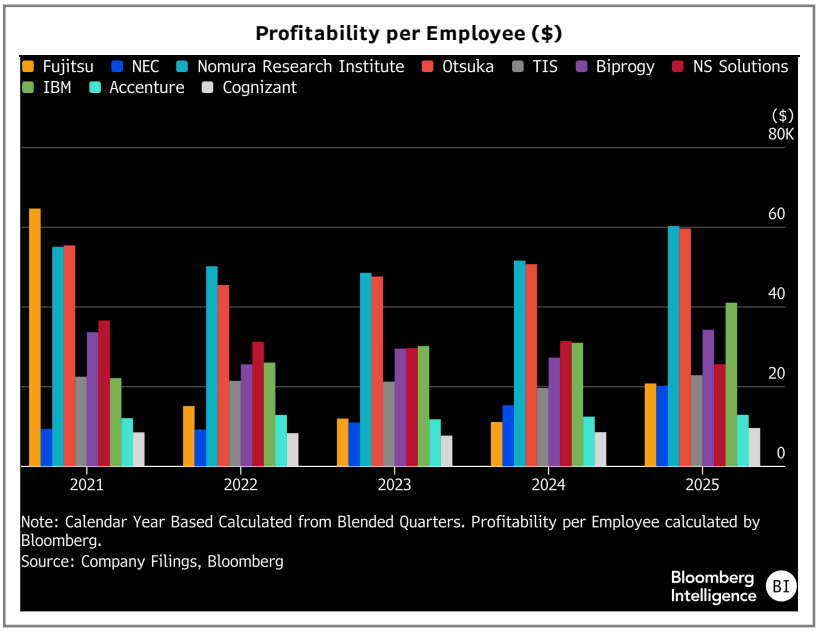
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AI Usage Could Improve Profitability per Worker

Contributing Analysts Yoshiteru Ito (Industrials)

(07/03/26)



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